

b. Very High Gross Margin Business:

There are businesses with very high gross margins. Well, this absolutely does not mean that these companies do not require fundraise. They might require funds to scale up quickly. However, there is also a chance that these businesses can fund their own expansion.

For example, if you are making a product for rupees 1 and you are selling it at 8, 9, or 10 rupees, and you are enjoying, 60%,+ as gross profit margin, there is a good probability that you are netting up a good amount of money. You can use that money to scale up your business. So you may not require any external capital to fund the expansion because your business is capable enough to sustain its growth for a prolonged period. You don't want to get that additional capital and then hurt your margins to grow sales.

However, it depends on numerous other factors. If you can easily raise capital and scale this high gross margin business into say 20 times the current size and have a clear market opportunity and vision, then you should go ahead and raise capital. However, If you do not see a clear road to growth, raising capital for a high margin business may not be the best decision. Margin profile and growth trajectory ahead plays a critical role in deciding if you need external capital or not.

